The team was divided into six ‘Business Groups’ based on the organization’s existing business activities—Engineering, Metals and Associated, Chemical and Agro, Consumer Products, Service, and Utilities. Two more areas, High Technology and International Business, were added to the list later. Besides, a special group was founded under the chairmanship of Freddie Mehta to study various environmental trends that could determine the success of business ventures in the decade ahead.

The mandate of the groups was to ‘project a ten-year view of their respective business areas and to formulate appropriate strategies as well as business directions for [the] Tatas in their field’, reflecting anticipated changes in technology and the environment. Each of the groups was chaired by a director in TIL who was responsible for the respective segment of the identified business. Ratan alone chaired two groups (High Technology and International Business). Significantly, these two were the newly identified frontier business areas that were expected to be the focus and grids on which the Tata Group would build its new business.

The groups first analysed the reasons for the perceived lethargy that had crept into the functioning of various companies. They concluded that this had hindered the dynamism that had come to be associated with the Tata brand. Simultaneously, they identified five external competing companies that had performed exceedingly well and undertook an elaborate study of their performance and the industrial climate in the country. After this, a detailed analysis of the strategies adopted by these companies and the reasons for their success were mapped.

The entities studied were Hindustan Lever Ltd, Larsen & Toubro, Reliance Textile Industries, and the Birla and Modi groups. Of these, Reliance Industries was singled out for deeper analysis, as it had grown from a company of Rs 68 crore to Rs 408 crore, a six-fold increase in as many years. The objective was to identify the policies that the company had successfully employed to achieve this phenomenal growth.

Ratan was aware that as the chairman of the two most important groups, his findings would be more relevant and important for the future of the Tata Group. He, therefore, focused heavily on studying the important areas for improvement identified by his two groups. He concentrated particularly on the best practices that the five industrial groups had successfully adopted to derive lessons for the Tata companies.